

Credit Governance & Escalation Analytics

Three Lines of Defense · Committee Throughput · Connected Counterparty Aggregation

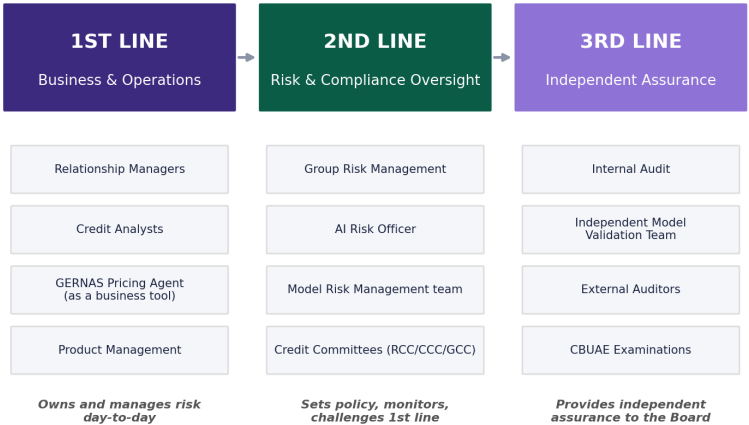
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Prepared By	Group Risk Management · Credit Pricing
Classification	Internal Use Only (Mock POC Data)
Related Policies	FAB-POL-PRICE-2024-v2.4 · FAB-CRP-CONC-2024-v1.8 · CBUAE 2024/BSE/047

1. Three Lines of Defense

FAB's credit risk governance follows the standard banking Three Lines of Defense model. The GERNAS Pricing Agent sits in the 1st line as a business tool, with its outputs subject to 2nd-line review (Credit Committees, AI Risk Officer) and 3rd-line independent validation and audit — consistent with the organisational separation required by CBUAE Circular 2024/BSE/047, Article 3.2.1.

FAB Credit Risk Governance — Three Lines of Defense Model

Standard banking governance structure underpinning credit pricing controls



The GERNAS Pricing Agent sits in the 1st line as a tool — but its outputs are independently reviewed (2nd line) and periodically validated (3rd line), per CBUAE Art. 3.2 & 5.1

Figure 1.1 — Three Lines of Defense model as applied to credit pricing governance.

2. Committee Approval Volume & Turnaround Time

Approval volumes at both the Country Credit Committee (CCC) and Group Credit Committee (GCC) have grown through H1 2024, reflecting portfolio growth. Average turnaround time has nonetheless improved from 6.2 days in January to 4.3 days in June, attributed to the GERNAS Pricing Agent MRM Evidence Pack reducing back-and-forth documentation requests during committee review.

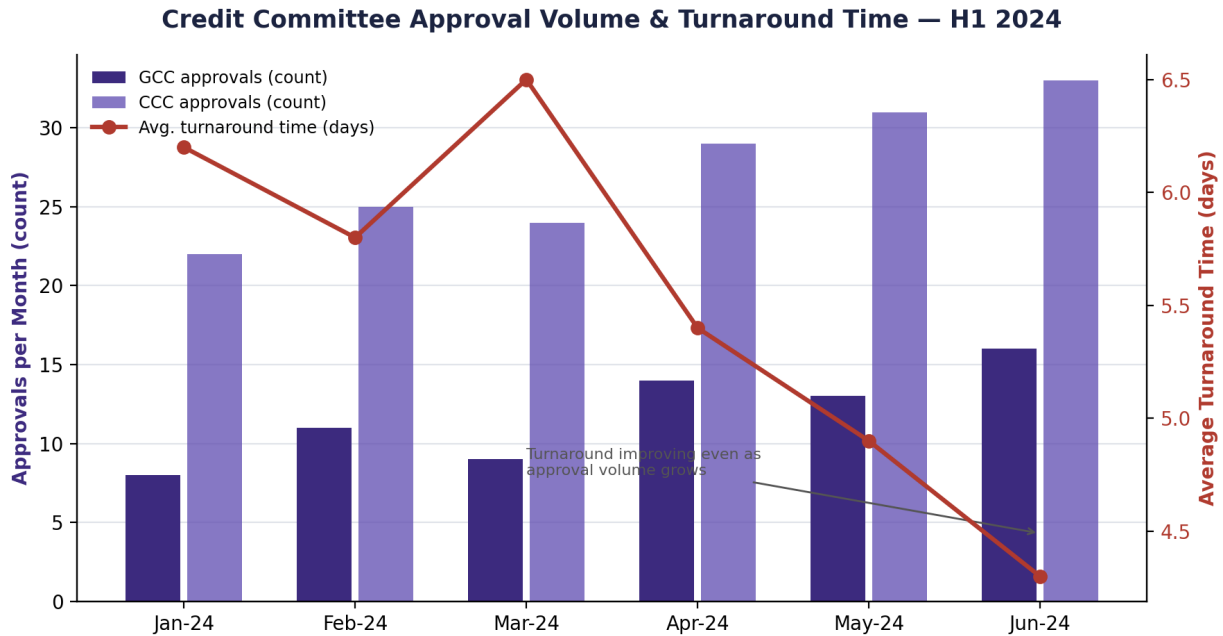


Figure 2.1 — Monthly CCC/GCC approval volume and average turnaround time, H1 2024.

3. Connected Counterparty Exposure Aggregation

Single-obligor limits under FAB-CRP-CONC-2024-v1.8, §2.1, apply to the aggregated exposure of a client and all connected counterparties — not just the immediate borrowing entity. The illustrative example below shows how the Knowledge Graph aggregates exposure across a corporate group before checking against the applicable single-obligor limit.

Connected Counterparty Structure — Illustrative Example

Group exposure is aggregated across all IS_SUBSIDIARY_OF-connected entities (Policy §2.1)

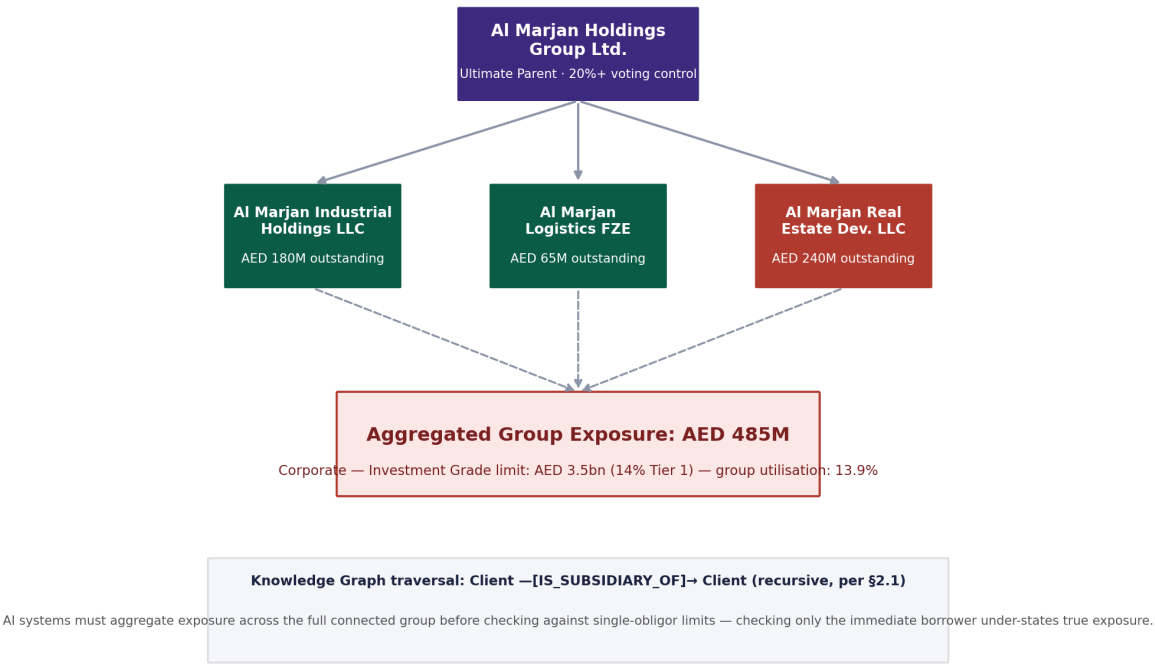


Figure 3.1 — Illustrative connected counterparty structure and aggregated group exposure.

READING NOTE: All figures in this document are illustrative mock data generated for RAG proof-of-concept testing.